Crumb & Co: Financial Outline

First-draft business plan · Home bakery, Chennai · Starting budget ₹1,00,000 · Every number is an assumption

Basis of the Model

Every figure below is an assumption to be replaced with real quotes and order data. Selling prices, the budget split, order targets and the 8% wastage and discount allowance carry over from the earlier plan sections.

Left out of the model:

- Rent, since the bakery runs from home
- Staff
- Owner's pay (shown separately)
- Delivery cost, which the customer pays
- Payment-gateway fees (UPI assumed free)
- GST and income tax, pending the checks flagged in the Operations section

1. Startup Costs

Item	Assumed amount	Share
Equipment	₹35,000	35%
Licensing and packaging	₹20,000	20%
Opening ingredient stock	₹15,000	15%
Marketing and photography	₹15,000	15%
Cash reserve	₹15,000	15%
Total	**₹1,00,000**	**100%**

2. Monthly Fixed Costs (Steady State)

Item	Assumed monthly cost
Extra electricity and gas	₹2,500
Ongoing marketing (ads, referral rewards, content)	₹1,500
Phone, internet and apps	₹500
Equipment upkeep and replacement fund	₹500
Cleaning and hygiene supplies	₹500

Item	Assumed monthly cost
FSSAI fee, insurance and miscellaneous	₹300
Total (before owner's pay)	**₹5,800**

3. Per-Product Economics

Product	Selling price	Ingredients	Packaging	Total variable cost	Cost as % of price	Contribution per unit
Eggless cake, ½ kg	₹750	₹230	₹60	₹290	39%	₹460
Eggless cake, 1 kg	₹1,400	₹430	₹90	₹520	37%	₹880
Brownie box (6)	₹480	₹150	₹35	₹185	39%	₹295
Cookie box (10)	₹400	₹120	₹30	₹150	38%	₹250
Gift hamper	₹900	₹270	₹80	₹350	39%	₹550

All five products are costed inside the 35 to 40% target range for ingredients plus packaging.

4. Expected Orders per Week

Steady-state mix at 30 orders a week (assumption):

Product	Orders per week	Weekly revenue	Weekly contribution
Cake, ½ kg	8	₹6,000	₹3,680
Cake, 1 kg	3	₹4,200	₹2,640
Brownie box	9	₹4,320	₹2,655
Cookie box	7	₹2,800	₹1,750
Hamper	3	₹2,700	₹1,650
Total	**30**	**₹20,020**	**₹12,375**

Per-order averages (assumptions):

Measure	Amount
Average order value	₹667
Ingredients and packaging per order	₹255
Wastage and discounts (8% of revenue)	₹53

Measure	Amount
Contribution per order	**₹359**

Ramp-up of orders per week (midpoints of the Marketing targets):

Month	1	2	3	4	5	6
Orders per week	9	14	18	20	23	28

5. Six-Month Projection

Figures are rounded to the nearest ₹100 and assume 4.33 weeks per month. The ₹15,000 marketing budget is paid from the startup funds, so only the other ₹4,300 of monthly fixed costs appears below. The surplus is before owner's pay.

Month	Orders	Revenue	Ingredients and packaging	Wastage and discounts	Contribution	Fixed costs (excl. marketing)	Surplus before owner's pay
1	39	₹26,000	₹9,900	₹2,100	₹14,000	₹4,300	₹9,700
2	61	₹40,700	₹15,600	₹3,200	₹21,900	₹4,300	₹17,600
3	78	₹52,000	₹19,900	₹4,100	₹28,000	₹4,300	₹23,700
4	87	₹58,000	₹22,200	₹4,600	₹31,200	₹4,300	₹26,900
5	100	₹66,700	₹25,500	₹5,300	₹35,900	₹4,300	₹31,600
6	121	₹80,700	₹30,900	₹6,400	₹43,400	₹4,300	₹39,100
Total							**₹1,48,600**

If the owner draws ₹15,000 a month (assumption):

Month	1	2	3	4	5	6
Surplus after owner's pay	−₹5,300	₹2,600	₹8,700	₹11,900	₹16,600	₹24,100
Cumulative	−₹5,300	−₹2,700	₹6,000	₹17,900	₹34,500	₹58,600

Month 1 dips below zero, which the ₹15,000 cash reserve can cover. At the month 6 run-rate, the ₹1,00,000 startup investment would be recovered around month 8.

6. Break-Even Point

Break-even orders equal monthly fixed costs divided by the ₹359 contribution per order.

Scenario	Monthly fixed costs plus owner's pay	Break-even orders per month	Per week	Break-even monthly revenue
No owner's pay	₹5,800	17	4	₹11,300
Owner's pay ₹15,000	₹20,800	58	14	₹38,700
Owner's pay ₹25,000	₹30,800	86	20	₹57,400

Sensitivity at steady state (monthly surplus):

Orders per week	Before owner's pay	After ₹15,000 owner's pay
20	₹25,300	₹10,300
25	₹33,100	₹18,100
30	₹40,800	₹25,800

Reading the results: The business clears its fixed costs with very few orders because overheads are low. The real test is whether it reaches a worthwhile owner's income, which at ₹15,000 a month needs about 14 orders a week. Order volume and the 8% wastage allowance are the assumptions most likely to be wrong, so treat months 1 to 3 as the first real test of both.

Assumptions to Verify

Assumption	How to verify
Startup budget split (₹35,000, ₹20,000, ₹15,000, ₹15,000, ₹15,000)	Replace each line with real quotes from suppliers, the FoSCoS fee page, packaging vendors and photographers
Fixed costs (₹5,800 a month)	Compare electricity and gas bills before and after a test baking week, and get actual app and phone costs
Ingredient costs per product	Cost every recipe from real supplier invoices, scaled to a test batch, and update after each purchase
Packaging costs per product	Get per-unit quotes at your expected order quantities
Selling prices	Compare with 8 to 10 comparable Chennai home bakers and bakeries on Instagram
Product mix at 30 orders a week	Track real orders for the first 4 weeks and adjust the mix
Average order value of ₹667	Recalculate weekly from your order log

Assumption	How to verify
Wastage and discounts at 8% of revenue	Log every failed bake, free item and discount, then compute the actual percentage
Order ramp-up (9 to 28 a week)	Compare against actual weekly orders and your baking capacity test
Owner's pay of ₹15,000 and ₹25,000	Decide the income you need and compare with what similar small food businesses pay their owners
Tax treatment (GST and income tax excluded)	Confirm thresholds and obligations with a local accountant